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Brief: Understanding Q2 and Q3 churn patterns and utilizing psychological practices to find a creative solution to reduce churn.

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I. Understanding the Pattern

- **High-Value Accounts:**
 - **Q2:** Price increases, ROI, or move competitors → *strategic churn*.
 - **Q3:** Bad debt, billing/locked accounts, budget cuts → *financial/operational churn*.
- **Low-Value Accounts:**
 - **Q2:** Churned because of lack of usage, freemium alternatives, or minor billing issues.
 - **Q3:** Churned due to bad debt, duplicate accounts, or just not using the tool anymore.
- **Overall most frequent themes:**
 - **Bad Debt** – Much more prominent in Q3 than Q2.
 - **Locked / Account Admin Issues** – Access problems, “signed OF” issues, or billing setup failures.
 - **Too Expensive** – Still appeared, though less dominant.
 - **Competitor Moves** – Explicit references to Datadog and others.
 - **Project Ended** – Still relevant, though fewer mentions compared to Q2.
 - **Downgrades / License Reductions** – Customers cutting user seats or moving from annual to month-to-month due to budget constraints.
 - **Service / Support Issues** – A few churns cited frustration with UX, support, or account management.

Overall Takeaway:

- **Value story** → Customers questioned ROI, usage, and cost.
- **Financial + operational story** → More about payments, locked/billing issues, and budget tightening.
- **Strategic lesson:**
 - **High-value churns:** focus on value demonstration and ROI alignment (Q2).
 - **Lower-value churns:** reduce friction in billing/account management and improve product stickiness (Q3).

II. Psychological Applications in Digital Touchpoints / Customer Journey

How do you keep customers engaged, seeing value, and reducing friction?

Learning Principles

1. Levels of Processing (deep vs shallow) → Meaningful ROI messaging

a. **Shallow info** = “PagerDuty has X features.”

b. **Deep info** = “PagerDuty saved you Y hours of downtime last month.”

Idea/Goal: Show customers their own data in dashboards/emails to create deep, personalized meaning → fights cost/ROI churn.

The Levels of Processing Effect (LOP)

- deeper or more meaningful processing leads to better memory

e.g., Craik & Tulving (1975)

Study: 1) SHALLOW – ‘upper case?’

2) INTERMEDIATE – ‘rhyme with...?’

3) DEEP – ‘make sense?’

Test: recognition memory

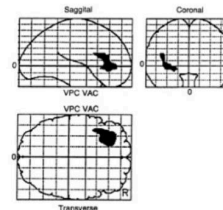
* $1 < 2 < 3$

Maintenance Rehearsal (repeat item at the same level) is not very effective

Elaborative rehearsal (process item to a deeper level) is very effective

Kapur et al., (1994) – PET brain imaging study of LOP

* living/nonliving judgments (i.e., semantic processing) led to greater left ventrolateral prefrontal cortex activity than a-checking judgments (i.e., perceptual processing)



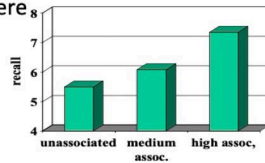
→ semantic processing involves the left ventrolateral prefrontal cortex (VLPFC - verbal elaboration?)

2. Organization Effect → Value framing

- Bundle updates into **clear, structured categories** (e.g., “Cost Savings,” “Risk Reduction,” “Team Efficiency”).
- Customers are more likely to recall and recognize value when **information is organized and schema-aligned**.

The Organization Effect - Organized material is better remembered than disorganized material
e.g., Deese (1959): Participants were presented with 3 different kinds of 15 word lists that varied in terms of how organized they were.

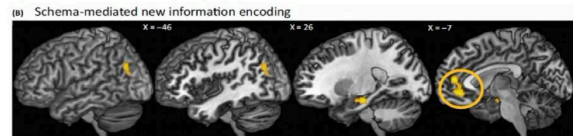
* organization increased recall



- organizing materials yourself is even more effective (e.g., summarizing notes)
- organize by relating new info to prior knowledge (e.g., schemas/scripts)

Schema fMRI studies

Gilboa & Marlatte (2017) - meta analysis of 12 fMRI studies examining activity during encoding of schema-related information (e.g., going to a restaurant) vs unrelated information



* ventromedial prefrontal cortex (vmPFC) was more active for schema-related encoding

→ vmPFC is critical for linking new info to organized knowledge structures

3. IMPORTANT ADDITIONAL PSYCHOLOGICAL “LEARNING PRINCIPLES” TO USE: Distributed Practice, Distinctiveness & Emotion Effects, Reward Effect, etc...

Implicit Memory

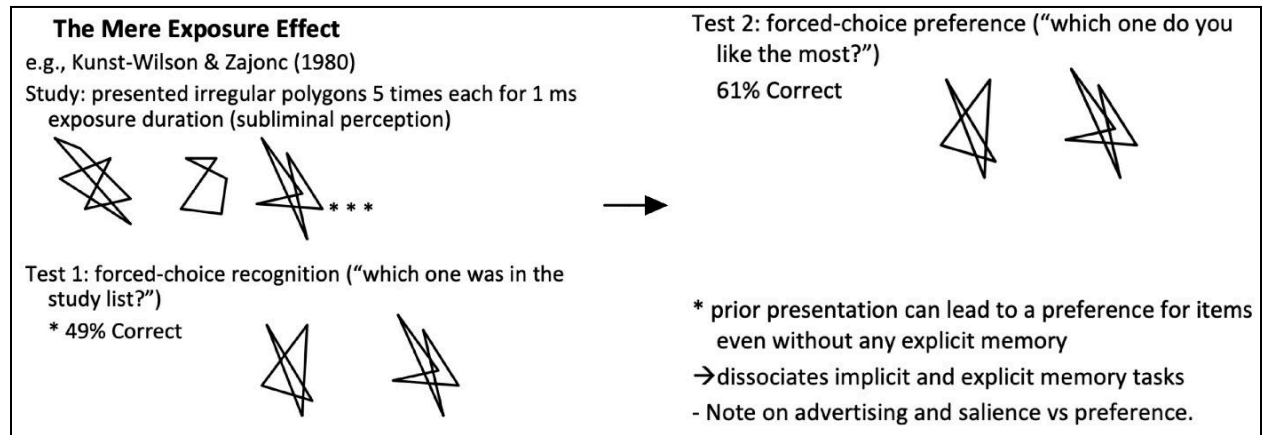
Why implicit memory:

- Requires very little attention
- Slower forgetting than explicit memory
- Sensitive to perceptual manipulations
- Not sensitive to semantic manipulations
- Implicit tests are susceptible to explicit contamination

1. Mere Exposure Effect → Subtle repetition in digital touchpoints

- Customers grow to prefer what they **see often**.
- Use **consistent branding, recurring “value highlight” emails, and repeat key ROI messages** to build unconscious preference.

- c. **Additional Idea:** Weekly “scoreboard” recap of end of week incidents saved to highlight value of product.



2. IMPORTANT ADDITIONAL IMPLICIT MEMORY PRINCIPLES TO USE: priming (for less cognitive effort), implicit/explicit memory (low effort engagement), etc...